

The idea of a rising equity glide path in retirement is counterintuitive, as conventional wisdom says that stock allocation should decline with age. On account of this counterintuitive surprise, the rising equity glide path concept has been popular with personal finance writers. The rising equity glide path is intended to be treated as a risk management technique in retirement. It may help support spending and wealth in retirement at times when retirement goals may be most at risk.

To understand the concept of rising equity glide paths, it is worthwhile to consider four general economic environments retirees may face. First, financial markets may do well throughout the entire retirement period. In this case, retirement should be successful regardless of asset allocation strategy, though more aggressive strategies will support a larger legacy. Next, the entire retirement may be confronted by poor market returns. In this case, no allocation strategy can save retirement. A rising stock allocation would at least fare better than a more aggressive asset allocation throughout. Third, financial markets may perform well in early retirement but poorly later in retirement. In this case, sequence risk will not manifest, and the sustainable withdrawal rate will be high. Rising equity glide paths will work, but they may leave less legacy than otherwise. Finally, the rising stock glide path excels in scenarios that have historically led to the worst outcomes for retirees. That is, markets fare poorly early in retirement and then recover later in retirement. These scenarios have created the lowest withdrawal rates for past retirees, and this is where a rising equity glide path can make a difference in supporting better retirement outcomes.

While the rising equity glide path idea is meant as a risk management technique, there are obvious real-world implications that may limit its usefulness. Primarily, it may be that as people age, it becomes increasingly difficult to stay the course in response to market volatility, and retirees who have experienced a period in early retirement where they dealt with less volatility may not be prepared to deal with volatility again late in life. Perhaps the best implication from research along these lines is to at least not think about continuing to reduce stock allocations throughout retirement, and also that it may be okay to start retirement with a lower stock allocation than the traditional withdrawal rate studies suggest.

2. Valuation-Based Asset Allocation